

Notes: Fetter and Lockwood (AER, 2018)
Government Old-Age Support and Labor Supply: Evidence from the Old Age Assistance Program

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1 Big picture

- **Question.** How much did early government old-age support reduce late-life labor supply, and how costly was the program's implicit tax on work to recipients?
- **Setting.** The paper studies Old Age Assistance (OAA), a means-tested, state-administered program created in the 1930s alongside Social Security. In 1940, OAA was the dominant federal-state old-age support program; Social Security had just begun monthly payments and remained small.
- **Key empirical leverage.** OAA eligibility usually began at age 65, and states differed greatly in OAA payment generosity and reciprocity. The full-count 1940 Census makes it possible to compare age profiles of labor supply across very small geographies near state borders.
- **Main reduced-form finding.** OAA reduced labor force participation among men aged 65–74 by about 8.5 percentage points. This accounts for more than one-half of the decline in labor force participation among this group between 1930 and 1940.
- **Mechanism.** OAA combined an income transfer with an earnings test. The transfer made retirement more affordable, while the earnings test implicitly taxed work after eligibility by reducing benefits dollar-for-dollar with earnings.
- **Welfare result.** Although OAA had large labor supply effects, the welfare cost to recipients from the earnings test was small. Reduced-form bounds and the estimated life-cycle model imply that recipients valued benefits highly.
- **Structural interpretation.** A life-cycle retirement model uses bunching at the OAA eligibility age across potential earnings groups to estimate eligibility and preferences. The model finds that the earnings test explains a meaningful share of the labor supply effect but only slightly reduces the value of benefits.
- **Broader implication.** The paper uses OAA to infer that the post-1940 expansion of government old-age support, especially Social Security, plausibly explains at least one-half of the mid-century decline in late-life labor supply.

2 Incremental contribution of the paper

- **From time-series correlations to credible cross-state evidence.** The decline in old-age labor force participation coincided with the expansion of public old-age support, but simple aggregate trends cannot establish causality. This paper uses state-level program variation and age eligibility to isolate OAA's effect.
- **Full-population historical data.** The full-count 1940 Census allows the authors to study very narrow age profiles, state-border comparisons, and heterogeneous effects by education, predicted earnings, and employment status.
- **Border-county design.** By comparing counties on different sides of the same state border, the paper greatly reduces concerns that states with different OAA policies differed in broad labor market conditions or demographics.
- **Simulated instrument for policy generosity.** The paper constructs simulated OAA payments using statutory maximum payments and a common national earnings distribution. This

isolates policy-driven variation in expected OAA generosity from variation caused by state population characteristics.

- **Labor supply plus welfare.** Prior work often focuses on whether old-age support changes retirement. This paper also asks how much the earnings test reduced the value of benefits to recipients.
- **Reduced-form and structural complementarity.** The paper combines transparent reduced-form evidence with a life-cycle retirement model. The reduced-form design pins down the main labor supply effect; the structural model decomposes transfer and earnings-test channels.
- **Historical policy relevance.** OAA was both a major program in its own right and a predecessor of SSI. It also provides evidence for interpreting the labor supply consequences of the later Social Security expansion.

3 Data and measurement

3.1 Old Age Assistance policy data

- OAA was introduced in the Social Security Act of 1935 as a federal matching grant for state-administered assistance to low-income elderly people.
- States determined many program features, including eligibility rules, needs standards, payment levels, and administrative practices.
- In 1940, roughly 22% of people aged 65 and older received OAA. Payments and reciprocity rates differed substantially across states.
- The paper’s main policy measure is state OAA payments in December 1939 per person aged 65 and older.
- The paper also uses statutory maximum payments and the 99th percentile of new-recipient payments to measure the income-floor level in each state.

3.2 Census data

- The main individual-level data come from the full-count 1940 Census.
- The core sample is men aged 55–74 in states where the OAA eligibility age was 65 in 1939.
- Outcomes include labor force participation, employment, non-emergency employment, work in 1939, wage and salary income in 1939, and whether the individual had at least \$50 in non-wage/non-salary income.
- Individual controls include age, county, education, race, birthplace, citizenship, and marital status.
- The primary empirical sample is often restricted to counties on state borders, so that individuals are compared to nearby people facing different OAA policies.

3.3 Simulated payments

The simulated payment instrument is designed to capture the part of OAA generosity that comes from state policy rather than from the realized income distribution of the elderly. Conceptually, the instrument applies each state’s payment rule to a common national earnings distribution for men aged 60–64:

$$\text{Simulated payment}_s = f(\text{state maximum payment}_s, \text{national earnings distribution}).$$

- The simulated payment is strongly related to observed payments.
- Because it uses a common national population, it is less likely to be mechanically driven by state-specific labor supply or poverty rates.
- The main regressions instrument observed log payments per person 65+ with log simulated payments.

3.4 Key outcomes

- **Labor force participation in 1940:** the headline outcome.
- **Receipt of non-wage/salary income:** used as a proxy for OAA receipt because the Census does not identify OAA directly.
- **Employment and non-emergency employment:** used to distinguish exits from regular work, unemployment, and public emergency work.
- **Predicted potential earnings:** constructed from younger workers’ earnings using education, race, birthplace, and name-based socioeconomic information.

4 Models and empirical specifications

4.1 Reduced-form age-by-policy specification

The main reduced-form model can be written as

$$y_{iacsb} = \beta_c + \delta_{ba} + \sum_{a \neq \bar{a}} \gamma_a \times \log(\text{payments per person 65+})_s + \Lambda' x_{iacs} + \varepsilon_{iacsb}.$$

- i indexes individuals, a age, c county, s state, and b state-border segment.
- The reference age group is usually ages 60–64.
- County fixed effects remove level differences across counties.
- Border-segment-by-age fixed effects compare age profiles on opposite sides of the same state border.
- The key coefficients γ_a measure whether labor supply falls more after OAA eligibility in states with larger OAA programs.

4.2 Interpretation of the main coefficient

In the preferred IV specification, the coefficient for ages 65–69 is about -0.063 and for ages 70–74 is about -0.075 . A one-standard-deviation increase in log OAA payments per person 65+ is about 0.62 log points, so the implied effects are roughly:

$$-0.063 \times 0.62 \approx -0.039$$

for ages 65–69 and

$$-0.075 \times 0.62 \approx -0.047$$

for ages 70–74.

This means that a one-standard-deviation increase in OAA generosity reduces labor force participation by about 3.9 to 4.7 percentage points for eligible older men.

4.3 Structural life-cycle model

The structural model is a standard retirement model. Individuals choose consumption and whether to work, subject to a no-borrowing constraint and an OAA income floor. A stylized version of the objective is

$$U_{it} = \sum_{s=t}^T \beta^{s-t} \left(\frac{c_{is}^{1+\eta}}{1+\eta} - \delta_i \mathbf{1}(h_{is} = \bar{h}) \right),$$

subject to a budget constraint and an OAA rule of the form

$$b_{it} = \max\{0, \bar{y}_{it} - \hat{w}_{it}h_{it}\}.$$

- OAA is modeled as an income floor after eligibility age.
- The earnings test reduces OAA benefits as earnings rise.
- The asset nonnegativity constraint rules out borrowing.
- Identification comes from the degree of retirement bunching at the OAA eligibility age across potential earnings groups.

4.4 Counterfactuals

The paper uses both reduced-form estimates and the structural model to study counterfactuals:

- labor force participation without OAA;
- OAA without an earnings test;
- the share of OAA’s labor supply effect due to the earnings test;
- the equivalent value of OAA benefits relative to unconditional late-life income;
- the likely contribution of Social Security to the mid-century rise in retirement.

5 Identification and empirical design

5.1 What identifies the OAA effect

The paper combines two sources of variation:

- **Age eligibility:** OAA eligibility generally began at age 65.
- **State policy generosity:** states differed substantially in OAA payment levels and reciprocity rates.

The core test asks whether labor force participation falls more after age 65 in states with more generous OAA programs.

5.2 Why age 65 is useful in 1940

Age 65 later became associated with many other policies, especially Medicare and Social Security. In 1940, however, Medicare did not exist and Social Security monthly payments had only just begun and reached very few elderly people. This makes the age-65 discontinuity much cleaner for studying OAA than it would be in later decades.

5.3 Border design

- States with larger OAA programs may differ from states with smaller programs.
- The paper therefore compares counties on opposite sides of the same state boundary.
- These comparisons keep local labor market conditions and demographics more similar while allowing OAA policy to change discretely at the state line.
- Border-segment-by-age fixed effects allow each state-border area to have its own age profile, except for the differential effect associated with OAA generosity.

5.4 Threats and robustness

- **Policy endogeneity.** More generous states might differ in unobserved ways. The simulated instrument and border design address this concern.
- **Preexisting age trends.** If states with larger 1940 OAA programs already had faster retirement at age 65 before OAA, estimates would be biased. The 1930 placebo test finds no such pattern.
- **Anticipation.** Men could reduce labor supply before 65 in expectation of OAA. The estimated age profiles show little evidence of large pre-65 effects.
- **Measurement of reciprocity.** The Census does not record OAA receipt directly. The paper uses non-wage income and aggregate OAA records to validate the mechanism.
- **Great Depression labor markets.** The paper separates regular employment, unemployment, and public emergency work to show that much of the response came from people with weak labor market prospects.

6 Tables and figures

6.1 Figure 1 and Figure 2: Historical motivation and raw age-profile evidence

Read:

- Figure 1, panel A shows the long-run decline in labor force participation among men aged 65+ and the expansion of OAA plus OASI payments.
- Figure 1, panel B shows that the labor force participation age profile became much steeper at age 65 after old-age support expanded.
- Figure 2 shows that high-OAA and low-OAA states have nearly identical labor force participation before 65, but diverge sharply at and after age 65.

Economic message: The figures motivate a difference-in-differences design. The age-65 break appears exactly where OAA eligibility begins, and it is larger in states with more generous OAA programs.

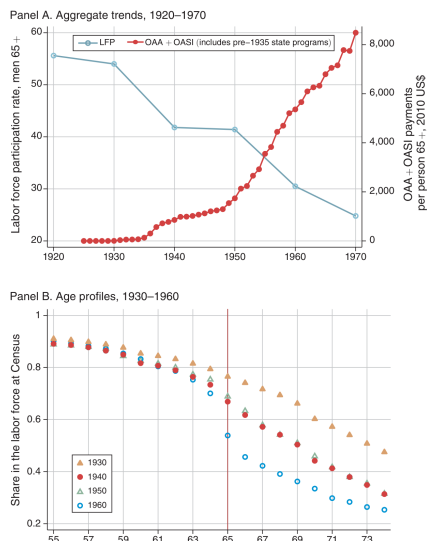


FIGURE 1. GOVERNMENT OLD-AGE SUPPORT AND RETIREMENT OVER THE MID-TWENTIETH CENTURY

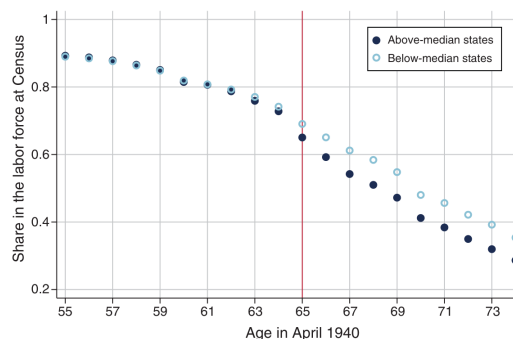


FIGURE 2. LABOR FORCE PARTICIPATION IN 1940, BY AGE AND STATE OAA PAYMENTS PER PERSON 65+

(a) Figure 1: Government old-age support and retirement over the mid-twentieth century

(b) Figure 2: Labor force participation by age and OAA generosity

6.2 Figure 3 and Table 1: Cross-state variation in OAA programs

Read:

- Figure 3 maps December 1939 OAA payments per person aged 65+. The map shows large differences across counties and sharp changes at many state borders.
- Table 1 summarizes state OAA programs. The mean reciprocity rate was 0.23, the mean monthly payment per recipient was \$17.93, and payments per person 65+ varied widely.
- Legal maximum payments were usually around \$30 per month, but there was meaningful cross-state variation in maximum and high-percentile payments.

Economic message: OAA was not a small or uniform program. The combination of large program size and large state variation gives the paper useful identifying variation.

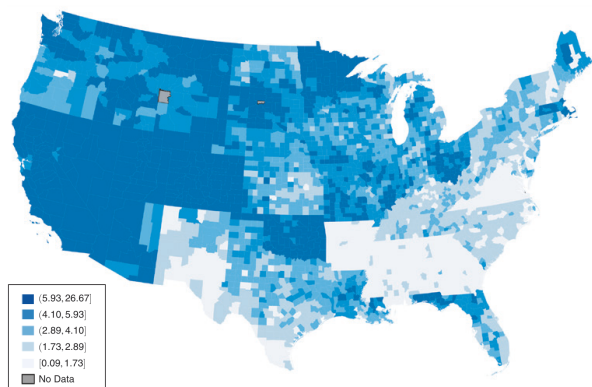


FIGURE 3. OAA PAYMENTS PER PERSON 65 AND ABOVE, DECEMBER 1939

(a) Figure 3: OAA payments per person 65+

TABLE 1—BASIC FEATURES OF STATE OAA PROGRAMS

	Mean	Median	SD	Min	Max	<i>N</i>
OAA reciprocity rate, December 1939	0.23	0.23	0.09	0.08	0.49	49
OAA payment per recipient, December 1939	17.93	18.90	6.49	6.01	32.97	49
OAA payment per person 65+, December 1939	4.16	3.59	2.59	1.01	13.17	49
Legal maximum payment	29.37	30	5.34	15	45	41
99th percentile payment	29.43	30	6.22	12	45	49
99th percentile payment, states with legal maximum	28.78	30	4.85	15	45	41

Notes: Includes the 48 states and the District of Columbia. “99th percentile payment” is for new recipients in fiscal year 1938–1939. Eight states had no legal maximum payment. Reciprocity rate and payments per person 65+ are normalized by state population from 1940 Census.

Sources: Data on OAA dollar payments and number of recipients from US Social Security Board (1940b), data on legal maximum payments from US Social Security Board (1940a), data on ninety-ninth percentile payment from US Social Security Board (1939b).

(b) Table 1: Basic features of state OAA programs

6.3 Figure 4 and Table 2: Theoretical mechanism and sample construction

Read:

- Figure 4 shows the lifetime budget constraint with and without OAA. OAA introduces a kink at the eligibility age because the benefit is reduced when the recipient earns labor income.
- Table 2 reports summary statistics for the full sample and the border-county sample. The samples are similar on education, race, citizenship, marriage, and labor market outcomes.
- The border-county sample contains over 2 million men aged 55–74, enough to estimate age-by-policy effects precisely.

Economic message: The earnings test creates a strong substitution incentive, but the sample design is built to estimate this incentive using nearby individuals facing different policy regimes.

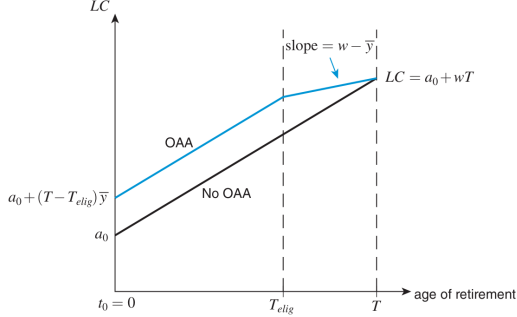


FIGURE 4. LIFETIME BUDGET CONSTRAINT WITH OAA

(a) Figure 4: Lifetime budget constraint with OAA

TABLE 2—SUMMARY STATISTICS

	Full sample			Border county sample		
	Mean	SD	N	Mean	SD	N
Years of education	7.142	3.740	6,722,869	7.013	3.718	2,055,456
Completed primary school	0.547	0.498	6,722,869	0.528	0.499	2,055,456
Non-white	0.079	0.269	6,722,869	0.088	0.283	2,055,456
US citizen	0.946	0.227	6,722,869	0.953	0.211	2,055,456
Currently married	0.755	0.430	6,722,869	0.755	0.430	2,055,456
In the labor force in 1940	0.713	0.452	6,722,869	0.725	0.447	2,055,456
Employed in 1940	0.651	0.477	6,722,869	0.666	0.472	2,055,456
Employed, non-emergency work in 1940	0.616	0.486	6,722,869	0.630	0.483	2,055,456
Worked in 1939	0.720	0.449	6,283,146	0.730	0.444	1,915,313
Any wage/salary income in 1939	0.480	0.500	6,283,146	0.480	0.500	1,915,313
Wage/salary income in 1939	557	911	6,283,146	551	905	1,915,313
≥ \$50 in non-wage/salary income	0.516	0.500	6,283,146	0.518	0.500	1,915,313

Notes: Full sample: men aged 55–74 in states with 1939 eligibility age of 65 with non-missing demographic information (education, race, birthplace, citizenship, and marital status). For demographic variables and 1940 labor force and employment variables (reflecting labor force status in last week of March 1940), sample restricted to men with non-missing information on labor force status and non-missing demographic information. For 1939 employment and income variables, sample restricted to men with non-missing information for all 1939 employment and income variables and non-missing demographic information. State border county sample further limits to counties that border a state included in the sample.

(b) Table 2: Summary statistics

6.4 Table 3 and Figure 5: Main reduced-form estimates

Read:

- Table 3 reports OLS and IV estimates. In the preferred IV specification, the pre-65 coefficient is close to zero, while the coefficients for ages 65–69 and 70–74 are negative and statistically precise.
- A one-standard-deviation increase in log OAA payments implies roughly a 3.9 percentage point reduction in labor force participation at ages 65–69 and a 4.7 percentage point reduction at ages 70–74.
- Figure 5 presents single-year estimates. Labor force participation declines differentially beginning at the eligibility age, while non-wage income rises at the same point.

Economic message: The timing is central: OAA generosity has little relationship with labor supply before eligibility but predicts both lower labor supply and higher non-wage income after age 65.

TABLE 3—LABOR FORCE PARTICIPATION BY STATE PAYMENTS PER PERSON 65+ AND AGE

	(1)	(2)	(3)	(4)
<i>Panel A. OLS results</i>				
log per-65+ payment $\times$ age 55–59	0.018 (0.005)	0.016 (0.004)	0.000 (0.004)	0.001 (0.003)
log per-65+ payment $\times$ age 65–69	–0.061 (0.004)	–0.057 (0.006)	–0.049 (0.004)	–0.049 (0.004)
log per-65+ payment $\times$ age 70–74	–0.068 (0.008)	–0.068 (0.009)	–0.060 (0.006)	–0.061 (0.006)
Observations	6,722,869	2,403,915	2,403,915	2,403,915
Sample	Full	Border	Border	Border
Border segment $\times$ age fixed effects	No	No	Yes	Yes
Education $\times$ age fixed effects	No	No	No	Yes
Race $\times$ age fixed effects	No	No	No	Yes
<i>Panel B. IV results</i>				
log per-65+ payment $\times$ age 55–59	0.048 (0.019)	0.028 (0.007)	0.006 (0.005)	0.006 (0.005)
log per-65+ payment $\times$ age 65–69	–0.070 (0.008)	–0.060 (0.010)	–0.063 (0.008)	–0.063 (0.008)
log per-65+ payment $\times$ age 70–74	–0.089 (0.016)	–0.078 (0.013)	–0.074 (0.010)	–0.075 (0.010)
Observations	6,722,869	2,403,915	2,403,915	2,403,915
Kleibergen-Paap rk Wald F-stat	2.00	8.39	20.46	20.53
Sample	Full	Border	Border	Border
Border segment $\times$ age fixed effects	No	No	Yes	Yes
Education $\times$ age fixed effects	No	No	No	Yes
Race $\times$ age fixed effects	No	No	No	Yes

Notes: Dependent variable is indicator for being in the labor force at 1940 Census. In Panel B, log simulated payment by age interactions used as instruments for log per-65+ payment by age interactions. Sample for column 1: men aged 55–74 in states with 1939 eligibility age of 65. Columns 2–4 include only counties on state boundaries and exclude counties on borders of excluded states. Unit of observation in columns 2–4 is an individual-state border pair. All specifications include county fixed effects and five-year age group fixed effects. All age-interactions are with five-year age groups. Standard errors (in parentheses) are clustered at the state level.

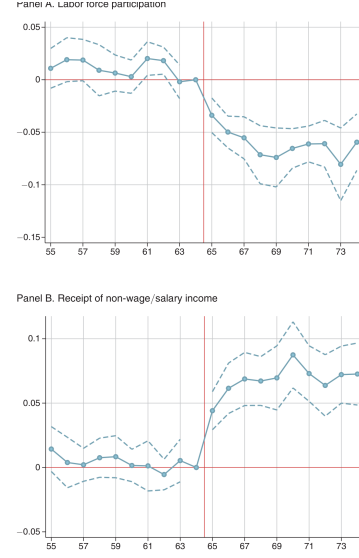


FIGURE 5. DIFFERENTIAL CHANGES IN LABOR FORCE PARTICIPATION AND RECEIPT OF NON-WAGE INCOME

(a) Table 3: Labor force participation by payments and age

(b) Figure 5: Differential changes in labor force participation and non-wage income

6.5 Figure 6 and Figure 7: Mechanism and counterfactual labor force participation

Read:

- Figure 6 compares the break at age 65 in receipt of non-wage income to the break in labor force participation by state. States with larger increases in non-wage income tend to have larger reductions in labor force participation.
- Figure 7 constructs the counterfactual age profile of labor force participation without OAA. The counterfactual profile is meaningfully above observed labor force participation after age 65.

Economic message: The figures connect the reduced-form labor supply effects to OAA receipt and show that the aggregate labor force participation profile would have been substantially higher without OAA.



FIGURE 6. BREAKS IN NON-WAGE INCOME VERSUS BREAKS IN LABOR FORCE PARTICIPATION, BY STATE

(a) Figure 6: Breaks in non-wage income versus labor force participation

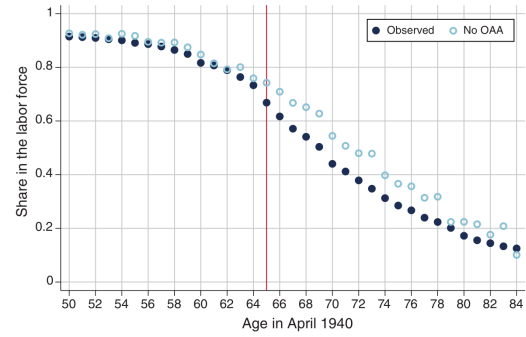


FIGURE 7. ACTUAL AND COUNTERFACTUAL PROFILE OF LABOR FORCE PARTICIPATION

Figure shows observed rates of labor force participation by age and activated counterfactual rates of labor force participation.

(b) Figure 7: Actual and counterfactual labor force participation

6.6 Figure 8 and Table 4: Heterogeneity and employment-margin evidence

Read:

- Figure 8 shows that OAA reduced labor supply more among men with lower education and lower predicted earnings.
- Table 4 decomposes the outcome into labor force participation, employment, and non-emergency employment.
- The difference between the labor force and non-emergency employment effects shows that part of the response came from unemployment or public emergency work rather than private-sector employment alone.

Economic message: The OAA response was concentrated among men with poor labor market prospects. This matters for welfare because leaving work is less costly for people with low potential earnings or weak employment opportunities.

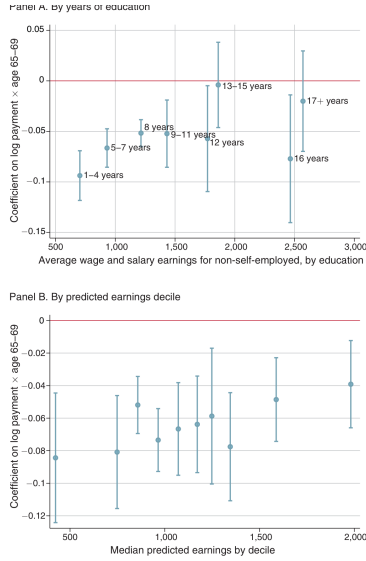


FIGURE 8. OAA REDUCED LABOR SUPPLY MORE FOR MEN WITH

(a) Figure 8: Larger effects for lower potential earnings

TABLE 4—ALTERNATIVE LABOR FORCE PARTICIPATION OUTCOMES

	In labor force (1)	Employed (2)	Non-emergency (3)
log per-65+ payment × age 55–59	0.006 (0.005)	0.008 (0.005)	0.001 (0.004)
log per-65+ payment × age 65–69	–0.063 (0.008)	–0.050 (0.008)	–0.032 (0.008)
log per-65+ payment × age 70–74	–0.075 (0.010)	–0.060 (0.009)	–0.042 (0.008)
Observations	2,403,915	2,403,915	2,403,915
Kleibergen-Paap rk Wald <i>F</i> -stat	20.53	20.53	20.53
Sample	Border	Border	Border
Border segment × age fixed effects	Yes	Yes	Yes
Education × age fixed effects	Yes	Yes	Yes
Race × age fixed effects	Yes	Yes	Yes

Notes: Dependent variables: in labor force at 1940 Census (column 1), employed at 1940 Census (column 2), employed in private or non-emergency government work (column 3). Log simulated payment by age interactions used as instruments for log per recipient payment by age interactions. Sample restricted to counties on state boundaries, excluding counties on borders of states with age eligibility requirement other than 65 in 1939. Unit of observation is an individual-state border pair. All specifications include county fixed effects and five-year age group fixed effects. All age-interactions are with five-year age groups. Standard errors (in parentheses) are clustered at the state level.

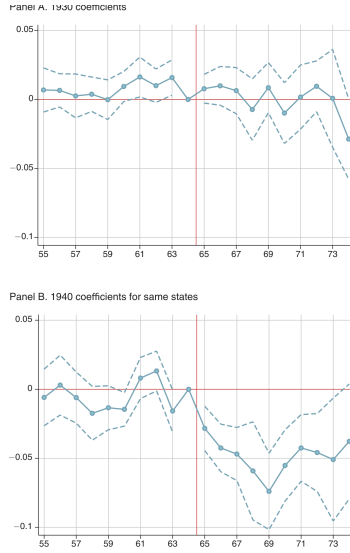
(b) Table 4: Alternative labor force participation outcomes

6.7 Figure 9 and Figure 10: Robustness and structural fit

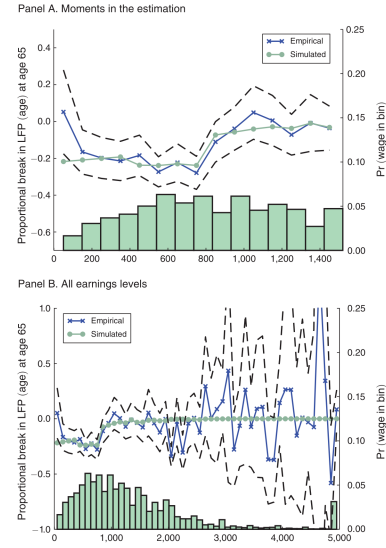
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- Figure 9 is a placebo test using 1930 employment outcomes. Payments in 1940 do not predict differential age patterns in 1930, when the relevant OAA programs were not yet operating in many states.
- Figure 10 compares empirical and simulated moments in the life-cycle model. The model matches the key bunching patterns used for identification.

Economic message: The 1930 placebo supports the identification strategy, and the structural fit gives credibility to the decomposition of OAA's labor supply effect into transfer and earnings-test components.



(a) Figure 9: Placebo evidence from 1930



(b) Figure 10: Empirical versus simulated moments

6.8 Figure 11: Structural decomposition of the OAA effect

Read:

- Figure 11 compares simulated labor force participation under three regimes: no OAA, actual OAA, and OAA without an earnings test.
- Actual OAA lowers labor force participation relative to no OAA.
- OAA without an earnings test still lowers labor supply, but by less than actual OAA around and after eligibility.

Economic message: The earnings test contributes materially to the labor supply reduction, but transfers alone also reduce labor supply. Despite the earnings-test effect, the model implies that recipients valued the benefits highly.

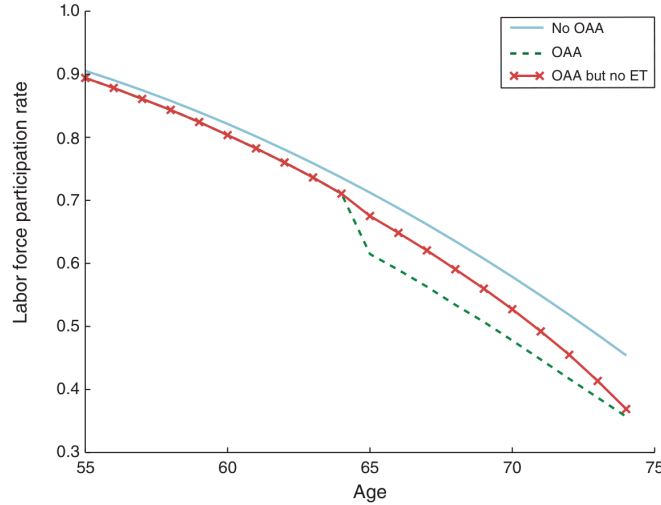


FIGURE 11. SIMULATED EFFECTS OF OAA ON LABOR FORCE PARTICIPATION

Figure 11: Simulated effects of OAA on labor force participation

7 Short summary

- OAA was a large state-administered old-age support program in 1940, before Social Security became dominant.
- OAA eligibility usually began at age 65, and program generosity varied widely across states.
- Using the full-count 1940 Census, the paper compares age profiles across state borders and instruments observed OAA generosity with simulated policy generosity.
- OAA reduced labor force participation among men aged 65–74 by about 8.5 percentage points.
- This effect explains more than one-half of the 1930–1940 decline in labor force participation for this group.
- The effect appears exactly at the eligibility age and is mirrored by an increase in non-wage income.
- Labor supply responses were larger for men with lower education and lower predicted earnings.
- Reduced-form bounds imply that recipients valued OAA benefits substantially; the structural model implies about \$0.95 of value per \$1 of benefits.
- The earnings test accounts for a meaningful share of the labor supply reduction but imposes only small welfare costs on recipients.
- The results suggest that Social Security likely explains at least one-half of the mid-century decline in late-life labor supply.

8 Conclusion

8.1 Core conclusion

Fetter and Lockwood show that government old-age support can substantially reduce late-life labor supply. In the case of OAA, the program reduced labor force participation among men aged 65–74 by about 8.5 percentage points in 1940, enough to explain more than one-half of the decline in this group’s labor force participation during the 1930s.

8.2 Economic intuition

OAA affected labor supply through two channels. First, it transferred income to older people, making retirement affordable. Second, it imposed an earnings test, which reduced benefits when recipients earned labor income. This created a kink in the lifetime budget constraint at the eligibility age and made working after age 65 less attractive.

8.3 Incremental contribution revisited

The paper’s contribution is not only to estimate a retirement effect. It uses a historical setting with clean age eligibility, large state policy variation, and full-population microdata to estimate both labor supply effects and welfare costs. The border-county design and simulated instrument make the reduced-form evidence transparent, while the structural model explains how the same program can have large labor supply effects but small welfare costs from the earnings test.

8.4 Policy implications

The findings imply that old-age support programs can meaningfully change labor supply, especially when benefits replace a large share of low potential earnings. But they also show that large behavioral responses do not automatically imply large welfare losses. If responses are concentrated among people who would soon retire anyway, or among people with weak labor market opportunities, the implicit tax on work may impose small costs on recipients.

8.5 Limitations

The paper studies men in 1940, a period with poor labor markets, limited private pensions, and very different household credit conditions from today. OAA receipt is not observed directly in the Census, and the structural model necessarily simplifies assets, nonlabor income, and eligibility rules. The Social Security exercise is informative but not a direct causal estimate of Social Security’s effects.

8.6 Takeaway

The central takeaway is that public old-age support helped create retirement as a common late-life outcome. OAA had large effects on work decisions, yet the welfare cost of its earnings test was

modest because many beneficiaries had low potential earnings or would have retired soon anyway. The paper therefore distinguishes sharply between labor supply effects and welfare losses.